

Datadog

Worth Considering: Has Anthropic Become a Datadog Customer?

Our field work has been informing our oft-published view that Datadog is winning the lion's share of Observability business with AI-native startups, including both the largest AI Labs / model providers and the longer tail of several hundred AI companies. We have opted to stay out of the predicting-what OpenAI-will-choose-to-do game (likely Datadog's largest customer) because we think it is difficult to know with certainty. However, worth noting is that as Anthropic [OpenAI and Anthropic are covered by JPM private research analyst Brenda Duverce] blossoms within the enterprise with products such as Claude Code, investors suspect its revenue scale may be closer to that of OpenAI's in the coming years than was previously expected. Thus, while we remain steadfast in our view that Datadog's broader success across thousands of customers is the bigger picture to focus on, any sense that Anthropic or other top-5 model providers are moving onto Datadog would be viewed as very positive to the narrow / simple bear thesis revolving around customer concentration with OpenAI. Comments made on Datadog's earnings call, in our view, are worth consideration of the possibility that Anthropic has become a Datadog customer. Specifically, ***Datadog mentioned an 8-figure land (i.e. \$10M - \$99M range) with "a leading AI model company."*** Second, this was also described as the ***"biggest new-logo deal to date"*** – obviously, a ***momentous event in the history of Datadog***. Third, it was cited as "one of the ***largest*** AI model companies." Fourth, it was noted as having "a cumbersome stack" and ***consolidated >5 products onto the unified Datadog platform – which indicates not a short-term tactical move, but rather, a long-term and very broad strategic commitment***. Fifth, Datadog provided an important new disclosure, that as of now, 14 of the top 20 AI-native companies are Datadog customers, implicitly meaning the odds would've already been in the ballpark of 70% even if Datadog had not just landed an 8-figure win with one of the ***largest*** AI model companies. *Net/net: We see Datadog as a vibrant category leader in a market that is benefiting from the relentless modernization trend, along with a highly attractive financial profile and history of execution. However, we maintain a balanced view on the uncertain macroeconomic and geopolitical environment. Datadog's shares trade at a premium revenue multiple and FCF multiple, which we think is justified to some extent given the long-term scaling of the business with superb efficiency and its strong positioning within an attractive market benefiting from digital transformation and cloud migration. Maintain OW rating; Dec-26 PT of \$200.*

Overweight

DDOG, DDOG US

Price (09 Feb 26):\$114.01

Price Target (Dec-26):\$200.00

Software - Large Cap / Mid & Small Cap

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	0.44	0.46A	0.50
Q2	0.43	0.46A	0.54
Q3	0.46	0.55A	0.61
Q4	0.49	0.54	0.63
FY	1.83	2.01	2.29

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	83	88	87	86	92
Growth	57	46	34	28	25
Momentum	51	42	47	68	17
Quality	38	11	26	54	46
Low Vol	38	29	42	68	75
ESGQ	9	2	26	92	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	-16.2%	-9.2%	-40.4%	-20.1%
Rel	-17.9%	-9.1%	-43.9%	-34.9%

Company Data

Shares O/S (mn)	362
52-week range (\$)	201.69-81.63
Market cap (\$ mn)	41,271.73
Exchange rate	1.00
Free float (%)	98.6%
3M ADV (mn)	5.15
3M ADV (\$ mn)	756.9
Volatility (90 Day)	60
Index	S&P 500
BBG ANR (Buy Hold Sell)	44/4/1

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E
Financial Estimates			
Revenue	2,684	3,388	3,979
Adj. EBIT	674	756	967
Adj. EBITDA	109	83	150
Adj. net income	654	728	854
Adj. EPS	1.83	2.01	2.29
BBG EPS	1.77	2.02	2.41
Cashflow from operations	871	1,043	1,240
FCFF	836	984	1,168
Margins and Growth			
Revenue Growth Y/Y (%)	26.1%	26.2%	17.5%
EBIT margin	25.1%	22.3%	24.3%
EBIT Growth Y/Y (%)	37.5%	12.2%	27.8%
EBITDA margin	4.1%	2.5%	3.8%
EBITDA Growth Y/Y (%)	892.8%	(24.0%)	80.5%
Net margin	24.4%	21.5%	21.5%
Adj. EPS growth	37.7%	9.9%	13.9%
Ratios			
Adj. tax rate	2.4%	2.1%	3.0%
Interest cover	15.5	7.6	15.6
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	27.6%	22.7%	20.1%
Valuation			
FCFF yield	2.0%	2.4%	2.7%
Dividend yield	-	-	-
EV/Revenue	20.6	16.4	13.7
EV/EBITDA	505.2	671.1	362.6
Adj. P/E	62.4	56.8	49.8

Summary Investment Thesis and Valuation

Investment Thesis

Datadog is a leading provider of monitoring and security for public cloud, private cloud, and on-premises applications, with these solutions delivered via a comprehensive, unified platform. The company's technologies integrate and automate infrastructure monitoring, application performance monitoring, and log management to enable seamless observability, cloud security, and developer use cases. The company sees a large portion of the ITOM market as its target, which Gartner estimates will represent a \$53B opportunity by 2025. The combination of its large market opportunity, along with rapid growth, positive PF operating margin, and FCF generation, put it in an elite category. This market includes both legacy on-premise and private cloud environments as well as modern public cloud environments, which are expected to grow faster than the ITOM market as a whole. While the legacy environments include more competitive displacements, the cloud infrastructure space is primarily greenfield. We believe Datadog is the leader in its market and the preferred tool among DevOps professionals, providing a single-pane-of-glass experience across dynamic operating environments. As a result, we see Datadog as a direct beneficiary of the secular trends of digital transformation, which is driving an increase in workloads, as well as cloud migration, which is driving a higher proportion of workloads to public clouds, positioning it well in the drive toward modernization.

Performance Drivers

Market	24%
Sector	1%
Macro	1%
Style	21%
Idiosyn.	53%

Factors	6M Corr	1Y Corr
Market: MSCI US	0.23	0.49
Sect: Technology	-0.22	-0.11
Ind: Software & Serv	-0.05	0.12
Macro:		
US Dollar	0.02	0.14
US 10yr yield	0.06	-0.08
Economic Surprise	-0.04	0.07
Quant Styles:		
Value	-0.11	-0.26
Growth	0.04	0.24
Size	-0.17	-0.21

Investment Thesis, Valuation and Risks

Datadog (*Overweight; Price Target: \$200.00*)

Investment Thesis

Datadog is a leading provider of monitoring and security for public cloud, private cloud, and on-premises applications, with these solutions delivered via a comprehensive, unified platform. The company's technologies integrate and automate infrastructure monitoring, application performance monitoring, and log management to enable seamless observability, cloud security, and developer use-cases. The company sees a large portion of IT Operations Management as its target market, which Gartner estimates will represent a \$53B opportunity by 2025. The combination of its large market opportunity, along with rapid growth, positive PF operating margin, and cash flow generation, put it in an elite category. This market includes both legacy on-premise and private cloud environments as well as modern public cloud environments, including multi- and hybrid-cloud, which are expected to grow faster than the IT Operations Management market as a whole. While the legacy environments include more competitive displacements, the cloud infrastructure space is primarily greenfield. We believe Datadog is the leader in its market and the preferred tool by DevOps professionals, providing a single-pane-of-glass experience across numerous and dynamic operating environments. As a result, we see Datadog as a direct beneficiary of the secular trends of digital transformation, which is driving an increase in workloads overall, as well as cloud migration, which is driving a higher proportion of workloads to public clouds, positioning it well in the drive toward modernization.

Valuation

Our \$200 Dec-26 PT is based on 59x EV/CY26E uFCF using \$1.2B of uFCF for CY26E. Our multiple for DDOG shares is slightly above vs. Fast-Growing Infrastructure Software Vendors, which trade at ~55x on average. We believe Datadog's multiple is warranted given its category leadership, multiple vectors of growth, benefit from ongoing cloud migrations, and AI-related tailwinds, offset by its usage-based model, which can exhibit greater volatility than other business models.

Risks to Rating and Price Target

Risks to the Downside

- **Native Hypercloud DevOps Tools.** While there are various public cloud options, the market is currently dominated by Amazon's Amazon Web Services (AWS), Microsoft's Azure, and Google's Google Cloud Platform (GCP) platforms. These platforms feature native DevOps observability and security tools that compete with Datadog. Should these services become more attractive and/or cost competitive for customers, the company may face increased competition and price pressure, potentially impacting growth and profitability.
- **Acute Execution Risk.** Datadog has grown rapidly, both in terms of revenue and head count, increasing head count 156% in 2020 compared with 2019 and 147% in 2021 compared with 2020. As a result, maintaining the company's growth curve requires excellent execution and ramping of sales reps as it supports its best-in-class sales efficiency. While the company has a history of excellent execution, should any challenges emerge in its execution, growth and margins will likely suffer and investor sentiment erode, likely resulting in deceleration and multiple contraction.
- **Macroeconomic Gyration.** Recent macroeconomic uncertainties have caused many

IT customers to scrutinize deals more carefully, defer modernization products, and/or optimize or reduce spending. Should the environment worsen and customers further defer or reduce IT spending, Datadog's growth curve may be negatively impacted, with the company potentially particularly affected given its exposure to SMB customers.

Datadog: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25E	FY26E	FY27E		1Q25A	2Q25A	3Q25A	4Q25E	
Revenue	2,128	2,684	3,388	3,979	-	Revenue	762A	827A	886A	914	
COGS	(384)	(483)	(643)	(736)	-	COGS	(150)A	(158)A	(167)A	(169)	
Gross profit	1,744	2,201	2,745	3,243	-	Gross profit	612A	669A	719A	745	
SG&A	(626)	(769)	(954)	(1,083)	-	SG&A	(219)A	(242)A	(242)A	(250)	
Adj. EBITDA	11	109	83	150	-	Adj. EBITDA	(1)A	(23)A	9A	30	
D&A	(44)	(55)	(123)	(43)	-	D&A	(11)A	(13)A	(15)A	(16)	
Adj. EBIT	490	674	756	967	-	Adj. EBIT	167A	164A	207A	218	
Net Interest	(6)	(7)	(11)	(10)	-	Net Interest	(3)A	(3)A	(2)A	(2)	
Adj. PBT	587	828	922	1,081	-	Adj. PBT	213A	207A	250A	252	
Tax	(12)	(20)	(19)	(33)	-	Tax	(7)A	(3)A	(2)A	(7)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	464	654	728	854	-	Adj. Net Income	168A	164A	197A	199	
Reported EPS	0.14	0.51	0.28	0.50	-	Reported EPS	0.07A	0.01A	0.09A	0.11	
Adj. EPS	1.33	1.83	2.01	2.29	-	Adj. EPS	0.46A	0.46A	0.55A	0.54	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	350	358	363	373	-	Shares outstanding	363A	359A	362A	367	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	330	1,247	826	1,939	-	Gross margin	82.0%	82.0%	81.0%	81.5%	-
Accounts receivable	509	599	721	886	-	EBITDA margin	0.5%	4.1%	2.5%	3.8%	-
Inventories	0	0	0	0	-	EBIT margin	23.0%	25.1%	22.3%	24.3%	-
Other current assets	2,339	3,065	3,749	3,773	-	Net profit margin	21.8%	24.4%	21.5%	21.5%	-
Current assets	3,178	4,911	5,296	6,598	-	ROE	27.0%	27.6%	22.7%	20.1%	-
PP&E	172	227	320	365	-	ROA	13.4%	13.5%	11.8%	11.7%	-
LT investments	-	-	-	-	-	ROCE	24.3%	24.7%	20.6%	20.5%	-
Other non current assets	586	647	931	1,079	-	SG&A/Sales	29.4%	28.6%	28.2%	27.2%	-
Total assets	3,936	5,785	6,547	8,042	-	Net debt/equity	NM	NM	NM	NM	-
Short term borrowings	128	127	181	195	-	P/E (x)	85.9	62.4	56.8	49.8	-
Payables	88	108	167	185	-	P/BV (x)	19.7	15.0	11.2	8.8	-
Other short term liabilities	788	1,628	1,177	1,408	-	EV/EBITDA (x)	5,093.9	505.2	671.1	362.6	-
Current liabilities	1,003	1,863	1,525	1,788	-	Dividend Yield	-	-	-	-	-
Long-term debt	138	197	272	0	-	Sales/Assets (x)	0.6	0.6	0.5	0.5	-
Other long term liabilities	770	1,011	1,050	1,444	-	Interest cover (x)	1.7	15.5	7.6	15.6	-
Total liabilities	1,911	3,071	2,847	3,232	-	Operating leverage	185.7%	143.7%	46.4%	159.4%	-
Shareholders' equity	2,025	2,714	3,700	4,810	-	Revenue y/y Growth	27.1%	26.1%	26.2%	17.5%	-
Minority interests	-	-	-	-	-	EBITDA y/y Growth	(145.7%)	892.8%	(24.0%)	80.5%	-
Total liabilities & equity	3,936	5,785	6,547	8,042	-	Tax rate	2.0%	2.4%	2.1%	3.0%	-
BVPS	5.79	7.59	10.20	12.89	-	Adj. Net Income y/y Growth	67.7%	40.9%	11.4%	17.2%	-
y/y Growth	41.7%	31.0%	34.5%	26.4%	-	EPS y/y Growth	65.5%	37.7%	9.9%	13.9%	-
Net debt/(cash)	(65)	(923)	(373)	(1,744)	-	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	660	871	1,043	1,240	-						
o/w Depreciation & amortization	44	55	55	79	-						
o/w Changes in working capital	45	13	41	56	-						
Cash flow from investing activities	(731)	(737)	(876)	(147)	-						
o/w Capital expenditure	(28)	(35)	(59)	(72)	-						
as % of sales	1.3%	1.3%	1.7%	1.8%	-						
Cash flow from financing activities	58	787	(598)	20	-						
o/w Dividends paid	-	-	-	-	-						
o/w Net debt issued/(repaid)	0	782	(636)	0	-						
Net change in cash	(12)	917	(421)	1,113	-						
Adj. Free cash flow to firm	632	836	984	1,168	-						
y/y Growth	65.1%	32.2%	17.7%	18.7%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Datadog (DDOG, DDOG US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
08-Aug-23	N	106.30	90
07-Nov-23	OW	79.55	115
13-Feb-24	OW	134.85	140
06-Nov-25	OW	154.98	200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 14, 2019. All share prices are as of market close on the previous business day.

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